

Answer this with another question: what did you buy with that loan? Financial boffins warn that the reason for personal loans is often superficial – for example, to fund discretionary spending, such as an overseas holiday (which I did in my 20s through my newspaper’s credit union).

‘The purpose of anyone applying for this loan is often quite vague, and the interest rate is high as well,’ Kane Jiang says. ‘A personal loan is most often bad debt, unless you use it to start a business that will provide you with future cash flow.’

How can I make a long-term commitment to save?

Now you have a plan to wipe debt and cram for a deposit, the key to successful saving is to understand your motivations for doing so. This sounds like I’m stating the bleeding obvious, but the more specific you can be, the clearer the goal. ‘Saving’ for a distant goal can seem like a pipedream, but the more precise the objective, the more likely you are to strive for the endgame.

It sounds overly simple, but just as an AFL footballer aims for the premiership, long-term motivation is key. Jiang says, ‘There is no point getting into strategies and steps to get wealthy if there is no strong, underlying, burning desire to change.’

Jiang shares this example of a concise goal for a first home buyer:

Goal: Pay \$X a month to the mortgage.

Why: To achieve housing security for the family within 15 years’ time.

Vanessa De Groot, a *Domain* money columnist, also recommends setting a definite mission. To say ‘I want to own a home’ will make the challenge of saving seem insurmountable. So walk, talk and think like a buyer immediately, even if you are years from applying for a home loan, by deciding what you want – and from that point, work backwards, as De Groot has recommended in her *Domain* columns.

It might be: ‘By my 35th birthday, I want to own a new apartment for under \$480,000, within a 30-minute train ride of my workplace.’ Or: ‘In the next ten years, I want to buy a house on land for no more than \$700,000, within a 90-minute drive of the CBD.’